

PEGGED GBP

WHITEPAPER

STABLE STERLING, ON-CHAIN.

VERSION 1.0

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PGBP PAYMENTS LTD

COMPANY NUMBER 16925298

REGISTERED OFFICE: 17 HANOVER SQUARE, LONDON, W1S 1BN

[HTTPS://PGBP.IO](https://pGBP.io)

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I. EXECUTIVE SUMMARY

Pegged GBP (PGBP) is a GBP-denominated ERC-20 token deployed on Ethereum mainnet, issued by PGBP PAYMENTS LTD, a private limited company registered in England and Wales (company number 16925298). The token was deployed in February 2025 with a fixed maximum supply of 299,999,995 PGBP. The smart contract is immutable, source-verified, and contains no admin keys, no pause function, and no blacklist function. Minting is permanently disabled in the contract code. The burn function is enabled and has been operationally demonstrated on-chain.

PGBP is being built in a deliberate sequence: smart-contract layer first, public infrastructure next, operational backing and redemption last. The smart-contract layer — the on-chain primitives that determine what can and cannot happen to PGBP at the token level — is complete and verifiable today. The off-chain layer — banking, segregated reserves, redemption operations, and regulatory positioning — is being established in parallel and is expected to become operational during 2026. This whitepaper documents both layers honestly: what is true today and what PGBP is designed to support once the off-chain infrastructure is live.

The issuance model is structurally unusual for a fiat-pegged stablecoin. PGBP cannot mint new tokens. The entire supply was minted once, into a publicly disclosed treasury wallet, and is released into circulation only against received GBP, on a one-to-one basis. Circulating PGBP is to be matched, one-to-one, by GBP held in segregated reserves at a UK-regulated banking institution. Redemption is performed by burning PGBP — permanently destroying it on-chain — in exchange for GBP from the reserves. The supply, once minted, can only ever decrease.

Transparency is published quarterly. Each transparency report PDF has its SHA-256 hash recorded on Ethereum so that any party can independently verify the file they hold is the unaltered original. The first quarterly transparency report is scheduled for Q3 2026.

PGBP is currently positioned conservatively. The issuer is not yet authorised by the UK Financial Conduct Authority. The project does not solicit retail users as if PGBP were already a fully operational, regulated stablecoin. Early operational redemption is restricted to professional and business counterparties, subject to know-your-customer (KYC) and anti-money-laundering (AML) verification and the issuer's restricted-jurisdictions policy.

As authorisation, reserve operations, and the regulatory framework around UK stablecoins mature, that positioning will be revisited and disclosed openly.

This whitepaper is the canonical reference for anyone considering using, listing, integrating, partnering with, or otherwise engaging with PGBP. All claims contained within it should be cross-referenced against the project's website, transparency reports, and on-chain state, all of which are public.

2. BACKGROUND AND MOTIVATION

2.1 THE STABLECOIN LANDSCAPE

The stablecoin market is, at the time of writing, overwhelmingly denominated in US dollars. USD Coin (USDC), Tether (USDT), and PayPal USD (PYUSD) collectively hold the majority of stablecoin market capitalisation. The euro has multiple credible options: EURC, EURT, EURS. Several other major currencies — Singapore dollar, Hong Kong dollar, Australian dollar — have at least one recognised on-chain representative.

Sterling has been an exception. Despite the United Kingdom being one of the world's largest financial centres, the home of a globally significant payments and capital markets infrastructure, and the issuer of a major reserve currency, GBP has remained under-represented on public blockchains. There has been no widely-recognised, widely-listed GBP-denominated stablecoin operating with the operational quality and reach of its dollar counterparts.

2.2 THE FRICTION THIS CREATES

This gap creates a structural friction for any UK business, OTC desk, or fintech that needs to operate on-chain in its own currency. The available choices have been:

- Convert into USDC (or another dollar stablecoin) and back out, accepting spread, slippage, conversion fees, and unwanted GBP/USD foreign-exchange exposure
- Operate in a fragmented set of small or experimental GBP tokens, none of which has achieved meaningful listing depth or operational maturity
- Remain off-chain entirely, foregoing the settlement, programmability, and counterparty-set advantages of on-chain operation

None of these is satisfactory for a serious counterparty. For UK businesses needing on-chain GBP rails, the absence of a credible sterling stablecoin has been a binding constraint.

2.3 WHAT PGBP IS DESIGNED FOR

PGBP exists to fill this gap with a token designed from the outset for the same set of jobs USDC serves in dollars:

- **Payments.** GBP-denominated value transfer between counterparties, with the settlement finality and global reach of Ethereum.
- **OTC settlement.** A GBP leg for OTC desks executing crypto trades, particularly those operating in the UK or settling with UK counterparties.
- **Treasury operations.** A GBP-denominated holding for Web3 treasuries, DAOs, and businesses that wish to denominate cash positions in sterling rather than dollars.

- **Cross-border value transfer.** GBP settlement to and from counterparties globally, subject to the project's compliance and restricted-jurisdictions policy.
- **On-chain GBP rails.** A primitive on which payment companies, merchants, and Web3 projects can build sterling-denominated products.

2.4 DESIGN PHILOSOPHY

The design philosophy behind PGBP is informed by a critical observation: the categories of risk that have most damaged trust in stablecoins over the past decade are not the technical risks of running code on a public blockchain. They are the operational risks of human discretion at the issuer level — covert minting, inadequate or misrepresented reserves, opaque governance, unverifiable claims, and unilateral changes to user balances or permissions.

PGBP's design strips that category of risk out of the token itself. Nobody, including the issuer, can mint new PGBP. Nobody, including the issuer, can pause transfers. Nobody, including the issuer, can blacklist a wallet. Nobody, including the issuer, can upgrade or alter the contract. The properties of the contract were fixed at deployment and are now publicly auditable forever.

What remains as operational discretion sits at the off-chain layer — banking, reserves, redemption procedures, and counterparty selection — and is being addressed by published policy, segregated custody, KYC/AML procedures, sanctions screening, and verifiable quarterly reporting with on-chain hash recording.

The intention is not to claim that PGBP eliminates risk. It is to make the residual risks legible, verifiable, and accountable.

3. TOKEN DESIGN

3.1 TOKEN STANDARD

PGBP is implemented as an ERC-20 token on Ethereum mainnet, conforming to the standard interface specified by EIP-20. The contract supports all standard ERC-20 functions (transfer, transferFrom, approve, allowance, balanceOf, totalSupply) and emits standard ERC-20 events.

The token has 18 decimal places, consistent with the Ethereum ecosystem default and compatible with all major wallets, decentralised exchanges, and tooling.

3.2 CONTRACT ADDRESS AND VERIFICATION

The PGBP contract is deployed at:

0x5239c659A13f043358D551360C3b8FF1251d76D9

The contract source code is verified on Etherscan, meaning the published bytecode matches the published Solidity source. Anyone can independently inspect the source and compile it to confirm equivalence.

3.3 IMMUTABILITY

The PGBP contract is immutable. There is no proxy pattern, no upgrade mechanism, no admin role with privileged write access, no migration function, and no upgradeable storage layout. Once deployed, the bytecode of the PGBP contract cannot be altered.

The implications of immutability are deliberate. Once the contract exists on-chain, it cannot be made worse by future decisions. The reverse is also true: it cannot be made better. Any feature not present at deployment will never be added. The project considers this trade-off acceptable, because the categories of feature that an upgradeable contract typically provides — pausing, minting, freezing, blacklisting — are precisely the categories that introduce the most concerning forms of issuer risk.

3.4 SUPPLY

The maximum supply of PGBP is **299,999,995 tokens**. This figure is fixed at the smart-contract level and cannot be increased by any party at any time.

The supply figure includes a deliberate downward adjustment from a notional 300,000,000. At deployment, 300,000,000 PGBP were minted into the deployer wallet. Five PGBP were then burned in a deliberate, one-off test of the burn function to demonstrate on-chain that the burn mechanism operates as specified. The remaining 299,999,995 PGBP were transferred to the treasury wallet (see section 3.6). The maximum supply has been 299,999,995 since that moment and cannot increase.

3.5 MINT AND BURN BEHAVIOUR

Minting is permanently disabled. The PGBP contract does not expose any function that can increase the total supply. Any attempt to call internal mint logic reverts; there is no externally-callable entry point to it. This property is verifiable by inspecting the contract source.

The burn function is enabled. PGBP can be permanently destroyed by transferring it to the zero address (0x000...0000) or by invoking the contract's burn function. Either action reduces the total supply by the amount burned and is recorded as a standard ERC-20 Transfer event with the zero address as the recipient.

The burn function has been operationally demonstrated on-chain: five PGBP were burned at deployment as described above. This was both a verification step and the first instance of the redemption-style supply contraction that PGBP relies on operationally.

3.6 TREASURY WALLET

The full supply of 299,999,995 PGBP is currently held in the PGBP treasury wallet at:

0x4ba2D7FAAe4453A122743A56736B0D4cEBF10804

The treasury wallet is a multi-signature wallet under the control of PGBP PAYMENTS LTD. The wallet address is publicly disclosed and any party can verify the balance directly on Etherscan. As tokens are released into circulation against received GBP (see section 4), the treasury balance will decrease accordingly.

3.7 WHAT THE CONTRACT CANNOT DO

The following table enumerates the properties the PGBP contract does **not** have, each of which is verifiable from the published source:

Property	Present in PGBP?
Mint function (any party)	No — permanently disabled
Pause function	No
Blacklist or denylist	No
Admin / owner role	No
Upgrade mechanism	No
Proxy pattern	No
Fee on transfer	No
Rebasing mechanism	No
Migration function	No
Snapshot or vote-extension function	No

The PGBP contract is, in this sense, deliberately minimal. It is a standard ERC-20 with a fixed supply and a burn function — and nothing else.

4. ISSUANCE MODEL

4.1 THE MODEL IN ONE SENTENCE

PGBP is **pre-minted at deployment** into a publicly disclosed treasury wallet, and **released into circulation only against received GBP**, on a one-to-one basis.

4.2 WHY THIS MODEL RATHER THAN MINT-AGAINST-DEPOSIT

The traditional fiat-pegged stablecoin model mints new tokens when fiat is deposited and burns tokens when fiat is redeemed. This is the model used by USDC, USDT, and most major stablecoins. It places significant trust in the issuer not to mint tokens that are not backed.

PGBP takes the opposite approach: the supply is fixed once, at deployment, and the mint function is then permanently unreachable. The act of releasing PGBP into circulation is not a smart-contract event of “creating” new PGBP; it is a treasury wallet transfer of pre-existing PGBP to a counterparty. This has two effects:

1. The maximum amount of PGBP that can ever be in circulation is hard-capped at 299,999,995. No issuer decision, no compromise of issuer keys, and no future policy change can exceed this.
2. The act of issuance becomes observable as a treasury wallet transfer, which any party can monitor on-chain in real time.

4.3 THREE STATES OF PGBP

At any moment, every PGBP token in existence is in exactly one of three states:

State	Definition	Reserve commitment
In treasury	Held in the publicly disclosed treasury wallet. Not in circulation. Not claimed as issued.	None — treasury PGBP carries no backing claim
In circulation	Released from treasury and held by any party other than the issuer's treasury wallet	One-to-one GBP reserve commitment from the issuer (per section 5)
Burned	Permanently destroyed on-chain. Total supply has decreased accordingly.	Released to the redeemer at the time of burn

The circulating supply is computed as: **Maximum supply – Treasury balance – Total burned.**

All three figures are continuously and publicly verifiable on-chain.

4.4 THE ISSUANCE FLOW

The intended issuance flow, once banking and reserves are operational, is as follows:

1. A verified counterparty deposits GBP with the issuer, into a segregated reserve account at a UK-regulated banking institution.
2. The issuer instructs the treasury wallet to transfer the equivalent amount of PGBP — one PGBP per one GBP — from the treasury wallet to the counterparty's Ethereum address.
3. The PGBP is now in circulation. The circulating supply has increased by the released amount. The segregated reserve has increased by the equivalent GBP amount.

The transfer in step 2 is visible on-chain as a standard ERC-20 Transfer event from the treasury wallet. The transfer in step 1 is recorded in the issuer's segregated reserve accounting, which is summarised in each quarterly transparency report.

4.5 THE 1:1 INVARIANT

The issuer's operational commitment is that **the GBP balance in the segregated reserve, at the time of any quarterly attestation, is no less than the PGBP circulating supply at the same time.**

This invariant is:

- Verifiable on the PGBP side by inspecting the public Ethereum state at the attestation block
- Verifiable on the GBP side by the bank-confirmed balance reported in the transparency document
- Bound to a specific block height and a specific date, both of which are recorded in the transparency report

The 1:1 invariant is not yet operational at the date of this whitepaper, because banking and reserves are still being established. It is the central operational commitment the issuer is building toward.

5. RESERVE POLICY AND CUSTODY

5.1 WHAT RESERVES PGBP IS DESIGNED TO HOLD

Reserves backing circulating PGBP are to be held in two eligible categories:

Cash deposits at UK-regulated banks or Electronic Money Institutions (EMIs)

Cash held in GBP-denominated accounts at institutions regulated by the UK Financial Conduct Authority and / or Prudential Regulation Authority. Accounts to be held under segregation arrangements appropriate to the regulatory category of the partner institution (safeguarding arrangements in the case of EMIs; deposit arrangements in the case of credit institutions).

Short-dated, high-quality liquid assets

Where any portion of reserves is held in instruments rather than cash, only the following will be eligible:

- UK Treasury bills (T-bills) with residual maturity of 90 days or less
- Equivalent short-dated AAA-rated sovereign instruments

The intent is capital preservation and liquidity, not yield. The reserve policy explicitly excludes long-duration bonds, equities, structured products, lending arrangements, crypto holdings, and any form of staking, restaking, or yield-bearing crypto strategy.

5.2 RATIO COMMITMENT

The operational commitment is that **the total GBP value of reserves is no less than the circulating supply of PGBP**, valued at par, at the time of every quarterly attestation and at every point in between.

In practice, this means the reserve will operate with a small operational buffer above the 1:1 minimum, to absorb timing differences between the receipt of GBP and the release of PGBP. The size of the operational buffer will be disclosed in each transparency report.

5.3 SEGREGATION

Reserves will be held under segregation arrangements appropriate to the relevant regulatory category of the partner institution. The exact form of segregation depends on the regulatory status of the partner institution and will be disclosed in each transparency report once banking is operational.

The principle is that, in the event of insolvency or financial distress of the issuer, reserves held under proper segregation arrangements are not part of the general assets of the issuer and are available to PGBP redeemers as a separate pool. This is the same principle that applies to client money in regulated financial services.

5.4 COUNTERPARTY DIVERSIFICATION

The reserve policy includes a diversification requirement: no single banking or custody counterparty should hold more than a published maximum percentage of total reserves. The maximum will be disclosed once banking arrangements are operational and adjusted as the reserve base grows.

5.5 WHAT'S NOT CURRENTLY TRUE

At the date of this whitepaper, the operational reserve described above is not yet in place. Banking is in the establishment phase. No PGBP has been released into circulation, so no reserve commitment is currently owed. The first transparency report (scheduled Q3 2026) will report the operational state of reserves as at that date.

6. REDEMPTION MODEL

6.1 BURN EQUALS REDEMPTION

Redemption of PGBP, once operational, is performed by burning the PGBP. The smart contract has no "freeze" or "claim" intermediate state. Once PGBP is transferred to the issuer's redemption process, the issuer burns it and the supply decreases on-chain.

The corresponding GBP is then released from segregated reserves to the redeemer's bank account.

This design has two consequences:

1. Redemption is observable on-chain. The burn transaction is publicly visible. The associated decrease in total supply is publicly visible.
2. The PGBP supply only ever decreases. Once burned, PGBP cannot return to circulation; the only path to higher supply would be a redeployment, which the contract design precludes.

6.2 THE REDEMPTION FLOW

The intended redemption flow, once operational, is as follows:

1. A KYC-verified counterparty submits a redemption request specifying the PGBP amount and a verified destination GBP bank account.
2. The counterparty transfers the PGBP from their wallet to the issuer's designated redemption wallet on Ethereum.
3. The issuer performs sanctions screening, source-of-funds checks, and counterparty checks on the inbound transfer.
4. Once cleared, the issuer burns the received PGBP using the contract's burn function.
5. The issuer instructs the banking partner to release the equivalent GBP, less any disclosed fees, from segregated reserves to the counterparty's verified bank account.
6. The counterparty receives transaction confirmation referencing both the on-chain burn transaction hash and the GBP bank transfer.

6.3 ELIGIBILITY — PHASED

Eligibility for redemption is structured in phases. Earlier phases are deliberately restricted to professional and business counterparties so that the operational model can be proven before being opened more widely.

Phase	Eligibility	Timing
Phase 1 — Professional and B2B	Verified business entities, OTC desks, fintechs, payment institutions, and other professional counterparties. KYC/AML verification and a signed counterparty agreement are required.	Opens once banking and reserves are operational.
Phase 2 — Broader access	Wider eligibility under terms aligned with the UK regulatory regime applicable at that time.	Subject to regulatory positioning.

6.4 KYC, AML, AND SANCTIONS

All redemption is subject to KYC and AML verification. Wallet addresses presented for redemption are screened against on-chain analytics for sanctions exposure and high-risk associations. Counterparties whose source wallets fail screening will not be eligible for redemption regardless of the strength of identity verification.

Sanctions screening will reference the UK HM Treasury Office of Financial Sanctions Implementation (OFSI) consolidated list, the European Union consolidated list, and the United States Office of Foreign Assets Control (OFAC) Specially Designated Nationals (SDN) list, at minimum. The list is updated as those sanctions regimes change.

6.5 RESTRICTED JURISDICTIONS

PGBP redemption is not available to residents of, or counterparties incorporated in, the following jurisdictions:

- United States and all US Persons (regardless of location)
- Iran, North Korea, Cuba, Syria
- Crimea, Donetsk, and Luhansk regions of Ukraine
- Mainland China and Hong Kong
- Russia and Belarus
- Any other jurisdiction under comprehensive UK, EU, or US sanctions

The list may be updated as sanctions regimes change. The authoritative current list is published at <https://pgbp.io/restricted>.

6.6 FEES

Fees applicable to redemption will be disclosed transparently at the point redemption opens and will be itemised on each redemption request. They will reflect actual operational costs — primarily banking transfer fees, on-chain gas, and KYC verification — and

not surplus margin. Once published, the fee schedule will be available on the redemption page of the project website and reflected in each transparency report.

6.7 SERVICE LEVELS

Once operational, redemption SLAs will reflect the practical reality that GBP bank transfers and KYC checks take measurable time. A first-disclosure SLA range will be published when redemption opens, including target time-to-settlement, business-hours windows, and any cut-offs.

7. TRANSPARENCY FRAMEWORK

7.1 QUARTERLY REPORTS

PGBP PAYMENTS LTD commits to publishing a transparency report each calendar quarter, beginning Q3 2026. Each report is a PDF document, published on the project website at <https://pGBP.io/transparency>.

7.2 CONTENTS OF EACH REPORT

Each report contains, at minimum:

- **Reporting period.** The calendar quarter covered, with start and end dates and snapshot block height.
- **Issuer details.** Confirmation of the corporate state of PGBP PAYMENTS LTD.
- **Token supply state.** Maximum supply, treasury balance, circulating supply, total burned, all as at the period-end date and snapshot block.
- **Reserve summary.** Total reserves held, composition by category (cash vs short-dated HQLA), custodians and counterparties, and the ratio of reserves to circulating supply.
- **Treasury wallet activity.** Material transfers in and out of the treasury wallet during the period.
- **Burn events.** Every burn during the period, with transaction hashes and PGBP amounts.
- **Bank and custody status.** Current banking partners, custody arrangements, and any material changes during the period.
- **Management statement.** A signed statement from PGBP PAYMENTS LTD attesting to the figures and to adherence to the reserve and redemption policies.
- **Independent attestation.** Once available and engaged, the results of independent attestation by a regulated accountancy firm.
- **On-chain hash record.** The Ethereum transaction hash recording the SHA-256 of the PDF (see 7.3).

7.3 ON-CHAIN HASH RECORDING

Each transparency report PDF, once finalised, has its SHA-256 hash recorded on Ethereum. The mechanism:

1. The PDF is finalised and uploaded to the project website.
2. The PDF's SHA-256 hash is computed.

3. PGBP PAYMENTS LTD sends a small transaction from a designated publication wallet to a designated recipient address. The data field of the transaction includes the SHA-256 hash.
4. The transaction hash is then published alongside the PDF in the transparency reports list, so any reader can find it.

7.4 HOW A THIRD PARTY VERIFIES

To verify that a PDF in their possession is the unaltered original:

1. Download the PDF from <https://pgbp.io/transparency>.
2. Compute its SHA-256 hash locally. On Linux or macOS: `shasum -a 256 report.pdf`. On Windows: `certutil -hashfile report.pdf SHA256`.
3. Open the corresponding on-chain transaction on Etherscan (linked next to each report on the website).
4. Decode the input data of the transaction. The decoded hash must match the locally computed hash.

If the two hashes match, the PDF is the verified original. If they do not match, the file has been modified after publication.

7.5 INDEPENDENT ATTESTATION

The project intends to engage a regulated UK accountancy firm to perform independent attestation of each quarterly transparency report. The form of attestation (limited assurance, reasonable assurance, or full audit) will depend on the maturity of the reserve base and the engagement scope. The attestor's identity and engagement scope will be disclosed in each report from the date attestation begins.

Until independent attestation is engaged, transparency reports are signed by management of PGBP PAYMENTS LTD only, and this fact will be explicitly stated on the cover of each report.

8. GOVERNANCE AND THE ISSUER

8.1 THE ISSUER

PGBP is issued by **PGBP PAYMENTS LTD**, a private limited company registered in England and Wales.

Legal name	PGBP PAYMENTS LTD
Company number	16925298
Jurisdiction	England and Wales
Registered office	17 Hanover Square, London, W1S 1BN
Contact	info@pgbp.io

The issuer's identity, directors, and corporate state are matters of public record on the UK Companies House register.

8.2 DECISION-MAKING

Material decisions affecting PGBP — including the appointment of banking and custody partners, the engagement of independent attestors, the adjustment of policy thresholds, the activation of redemption phases, and any change to the project's regulatory positioning — are made by the directors of PGBP PAYMENTS LTD under the company's articles of association and applicable English company law.

The contents of each transparency report are approved by management of PGBP PAYMENTS LTD before publication.

8.3 WHAT GOVERNANCE CANNOT DO

Several categories of decision are not available to the issuer's governance, by design:

- The issuer cannot mint additional PGBP. The contract precludes this. No vote, no policy change, no shareholder resolution can alter this.
- The issuer cannot pause or freeze PGBP transfers. The contract precludes this.
- The issuer cannot blacklist any wallet. The contract precludes this.
- The issuer cannot upgrade or modify the PGBP contract. The contract precludes this.

The issuer's discretion is therefore bounded by the contract code. Within those bounds, the issuer is responsible for operational matters — banking, reserves, redemption administration, KYC, and partner selection — and is publicly accountable for them via the quarterly transparency framework.

9. COMPLIANCE AND REGULATORY POSITION

9.1 CURRENT POSITION

At the date of this whitepaper, **PGBP PAYMENTS LTD is not authorised by the UK Financial Conduct Authority and does not hold any UK financial services permissions.** PGBP is not regulated by the FCA at the date of publication.

This is disclosed openly on every page of the project website, in this whitepaper, and in all communications with counterparties.

9.2 THE UK REGULATORY LANDSCAPE

The United Kingdom is in the process of establishing a formal regulatory regime for fiat-backed stablecoins. HM Treasury and the FCA have published consultation papers setting out the intended perimeter and supervisory approach. The full operational form of this regime will continue to develop over the period during which PGBP is being brought to operational readiness.

In parallel, the UK financial promotions regime applies to communications regarding qualifying cryptoassets. The project's website, marketing materials, and public communications are structured with this regime in mind.

9.3 ENGAGEMENT STRATEGY

PGBP PAYMENTS LTD intends to engage with UK financial services counsel to confirm the project's regulatory perimeter and to develop an authorisation strategy aligned with the incoming UK stablecoin regime. The exact authorisation pathway — Electronic Money Institution authorisation, the new UK stablecoin regime, or another applicable category — will be determined based on counsel's advice and the operational design at the relevant time.

The roadmap (section 11) reflects this engagement strategy.

9.4 WHAT THE PROJECT DOES NOT CURRENTLY CLAIM

To avoid any ambiguity, the project does not currently claim that:

- PGBP is a regulated stablecoin.
- PGBP is authorised by the FCA, the PRA, or any other UK regulator.
- PGBP is e-money under the Electronic Money Regulations 2011.
- PGBP carries any consumer protection scheme, including the Financial Services Compensation Scheme.
- PGBP is currently redeemable on demand.

Each of these is reserved as a forward-looking commitment, to be claimed only when it is operationally true and supported by the relevant authorisation or arrangement.

9.5 AML AND SANCTIONS FRAMEWORK

Notwithstanding the absence of formal authorisation at the date of this whitepaper, PGBP PAYMENTS LTD operates an AML and sanctions framework consistent with regulated industry practice. This includes:

- KYC verification of all counterparties prior to redemption (when operational)
- Source-of-funds and beneficial-ownership checks
- Sanctions screening of counterparty identities and wallet addresses against OFSI, EU, and OFAC lists
- Documented restricted-jurisdictions policy (see section 6.5)
- A documented complaints procedure (see project website)

The framework will be expanded and formalised as part of the regulatory authorisation process.

10. RISK FACTORS

This section summarises the principal risks associated with PGBP. It is not exhaustive. Counterparties should obtain independent advice before engaging with PGBP.

10.1 CRYPTOASSET RISK GENERALLY

Cryptoassets are volatile and may be subject to extreme price movements, loss of value, lack of liquidity, and operational risks of the underlying blockchain. PGBP is a cryptoasset and is subject to these general risks.

10.2 SMART CONTRACT RISK

The PGBP contract is immutable. While this is a deliberate design decision providing certain trust guarantees, it also means that any defect or bug discovered in the contract cannot be fixed. The contract has been subject to internal review and is source-verified; however, no audit or review can guarantee the absence of defects.

10.3 RESERVE RISK

Once operational, the PGBP reserve will be exposed to:

- Banking and custodian counterparty risk (the possibility that a banking partner or custodian becomes insolvent or otherwise fails to meet its obligations)
- Eligibility risk of reserve assets (the possibility that a reserve asset deviates from par or experiences liquidity stress)
- Operational risk of reserve management

The reserve policy (section 5) is designed to mitigate these risks but cannot eliminate them.

10.4 ISSUER RISK

PGBP PAYMENTS LTD is a single-issuer entity. Its insolvency, restructuring, or operational failure would directly affect the operation of redemption and the management of reserves. The segregation arrangements (section 5.3) are intended to ensure that reserves are protected in such an event, but the practical realisation of segregation in distress is a legal and operational process and is not instantaneous.

10.5 REGULATORY RISK

The UK regulatory framework applicable to fiat-pegged stablecoins is in development. Changes to the framework, the timing of its implementation, and decisions by the FCA, PRA, or HM Treasury could materially affect the project, including by requiring changes to the operational model, restricting eligible counterparties, requiring authorisation that the issuer has not yet obtained, or restricting promotion of PGBP.

10.6 LIQUIDITY RISK

PGBP is not yet listed on any exchange, decentralised or centralised, at the date of this whitepaper. Liquidity for PGBP will be a function of operational launches, market-making arrangements, and listing decisions by third-party venues. There is no assurance that PGBP will achieve material liquidity in any particular venue or timeframe.

10.7 SANCTIONS AND AML RISK

The project's restricted-jurisdictions policy reduces but does not eliminate the risk that PGBP could be acquired, held, or transacted in ways that breach sanctions or AML rules in some jurisdiction. The contract design (no blacklist, no pause) means that on-chain enforcement of such restrictions is not available to the issuer; restrictions operate exclusively at the issuance and redemption layers.

10.8 NO CONSUMER PROTECTION

PGBP is not protected by the UK Financial Services Compensation Scheme, the UK Investor Protection Scheme, or any equivalent consumer protection regime in any other jurisdiction. There is no statutory recourse to deposit insurance or compensation funds for PGBP holders in the event of issuer failure.

11. ROADMAP

The PGBP roadmap is staged. Items are delivered in sequence; later items depend on the operational completion of earlier ones.

Phase	Status (as at May 2026)	Description
Token deployment	Complete (Feb 2025)	ERC-20 contract live on Ethereum mainnet. Source-verified. Immutable. Fixed supply minted into a publicly disclosed treasury wallet.
Brand and public launch	In progress (2026)	Website, transparency framework, brand identity, community channels, listing applications.
First transparency report	Scheduled (Q3 2026)	Inaugural quarterly transparency report published, with PDF hash recorded on-chain.
Banking and reserves	Planned	Establish UK banking partnership and segregated GBP reserves. Begin attestation cadence.
Redemption operational	Planned	Live redemption process for professional and B2B counterparties; OTC channels.
Independent attestation	Planned	Engage regulated UK accountancy firm to perform attestation of quarterly transparency reports.
Regulatory positioning	Planned	Engagement with UK financial services counsel; authorisation strategy aligned with the incoming UK stablecoin regime.

Phase	Status (as at May 2026)	Description
Broader market access	Planned	DEX liquidity, CEX listings, wallet integrations, payment partnerships.
Phase 2 redemption	Planned	Broader access to redemption beyond professional and B2B counterparties, subject to regulatory positioning.

Dates beyond scheduled items are sequenced rather than calendarised. Updates as each phase reaches activation will be reflected on the project website and in transparency reports.

12. APPENDICES

APPENDIX A — CONTRACT REFERENCE

Field	Value
Contract address	0x5239c659A13f043358D551360C3b8FF1251d76D9
Network	Ethereum mainnet (chain ID 1)
Token standard	ERC-20
Decimals	18
Maximum supply	299,999,995 PGBP
Source code	Verified on Etherscan
Treasury wallet	0x4ba2D7FAAe4453A122743A56736B0D4cEBF10804
Deployer wallet (historical)	0x50E3763B8eC8Ce86b34ee3005E960577783b2964
Deployment	February 2025

APPENDIX B — VERIFICATION COMMANDS

To verify the contract source code on Etherscan:

<https://etherscan.io/address/0x5239c659A13f043358D551360C3b8FF1251d76D9#code>

To verify the treasury wallet balance via a public Ethereum RPC, using ethers.js v6:

```
import { Contract, JsonRpcProvider, formatUnits } from "ethers";

const provider = new JsonRpcProvider("https://your-eth-rpc");
const PGBP = "0x5239c659A13f043358D551360C3b8FF1251d76D9";
const abi = ["function balanceOf(address) view returns (uint256)"];

const pgbp = new Contract(PGBP, abi, provider);
const raw = await pgbp.balanceOf(
```

```
"0x4ba2D7FAAe4453A122743A56736B0D4cEBF10804"
);
console.log(formatUnits(raw, 18), "PGBP");
```

APPENDIX C — GLOSSARY

Attestation. An independent verification by a qualified professional firm that figures presented (typically by management) are stated in accordance with a specified basis. Less stringent than a full audit; more stringent than a self-signed statement.

Burn. Permanently destroying tokens on-chain, reducing the total supply.

Circulating supply. PGBP in circulation, defined as: maximum supply, less treasury balance, less total burned.

EMI (Electronic Money Institution). A class of UK-authorized entity under the Electronic Money Regulations 2011, permitted to issue electronic money.

ERC-20. The Ethereum technical standard (EIP-20) for fungible tokens.

HQLA (High-Quality Liquid Asset). A class of asset, including UK Treasury bills and equivalent short-dated AAA-rated sovereign instruments, considered eligible for liquidity-sensitive holdings.

Immutability. The property that a smart contract cannot be modified after deployment.

KYC (Know Your Customer). Identity verification of counterparties.

Multi-signature wallet. A wallet that requires more than one signing party to authorize outgoing transactions.

Pre-minted treasury. An issuance model in which the entire token supply is minted once, at deployment, into a treasury wallet, and released into circulation thereafter by treasury transfer rather than further minting.

SHA-256. A cryptographic hash function used to compute a fixed-length fingerprint of an arbitrary input.

Source-verified. A property of a deployed smart contract indicating that the high-level source code has been published and confirmed (by Etherscan or equivalent) to match the deployed bytecode.

APPENDIX D — DOCUMENT VERSION HISTORY

Version	Date	Notes
1.0	May 2026	Initial publication.

APPENDIX E — CONTACT

For any matter related to this whitepaper, the project, or PGBP PAYMENTS LTD:

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End of whitepaper.

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